

BK Technologies BKTl

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by

starfox02

			2026	2027
Price:	73.16	EPS	3.86	4.83
Shares Out. (in M):	4	P/E	19	15
Market Cap (in \$M):	275	P/FCF	19	15
Net Debt (in \$M):	-30	EBIT	21	26
TEV (in \$M):	245	TEV/EBIT	12	9.5

Description

BKTI's upcoming BKR 9500 vehicle radio should see rapid adoption from existing customers of BKR 9000 portable radios, driving ~50% EBITDA growth over the next few years and supporting a \$130+ price in 2028 versus ~\$73 today.

Executive Summary

BK Technologies (BKTI) has successfully evolved from a niche, wildland-fire-focused company into a disruptor in the broader public-safety land mobile radio (LMR) market. After facing severe development delays with its new radio platforms and supply chain/inflationary headwinds in 2022, the company is now reaping the rewards of strategic R&D investments, specifically the BKR 9000 multi-band radio, which offers "tier 3" rural public-safety departments multi-band capabilities at half the price of Motorola (or comparable price to Motorola's single-band radio offerings).

Meanwhile, over the next few years, the company should see strong growth in revenues and profits from their upcoming launch of the BKR 9500 (in-vehicle mobile radio). The BKR 9000 is a "portable" or on-body radio, and BK has had no modern multi-band vehicle radio to sell along with it, even though vehicle radios represent about 30-40% of the market and numerous industry experts confirm that customers always want the same vendor for portable and mobile radios.

Engineered as a "drop-in" replacement for the legacy KNG mobile platform, the BKR 9500 minimizes installation friction and cost, creating a low-risk, high-impact opportunity to sell into an existing installed base of 50,000+ KNG units as well as every customer that has recently purchased a BKR 9000.

A Personal Note

My track record with my recent VIC write-ups has been spotty at best; many of the ideas I've posted over the past few years have done poorly to disastrously, even though my portfolio in general has actually done quite well (particularly this year). In several cases (CRMT, III) I was just flat-out wrong about the company and/or its management; in others (DLTH), I'm still a believer, but it's clearly still been a painful road.

While not an excuse, as I lost real money in all of these names, for many of the recent VIC writeups, I was trying to pick what I thought were more "interesting" ideas (i.e. those that didn't already have lots of VIC writeups or discussion) rather than necessarily my largest or my "best" ideas. Therefore, this time, I'm writing up one of my best ideas and largest positions, even though it's been covered well recently by VC2020, who is a friend of mine off VIC - we discovered the idea around the same time and have been swapping notes ever since. I do hope that I highlight a few incremental insights (or at least some of the same insights in an incremental way), but I invite you to read his writeup and the comments section there for a good starting point / overview.

An Abbreviated History of BKTI

For those unfamiliar with the story, I think the historical context of BK's journey over the past ~8 years is important to understand. The company's recent success and rise in stock price, which seems sudden, was actually years in the making. If you're familiar with the history and you'd like to skip ahead, or you just want to read about where the company is going, please CTRL+F for "Vision 2030."

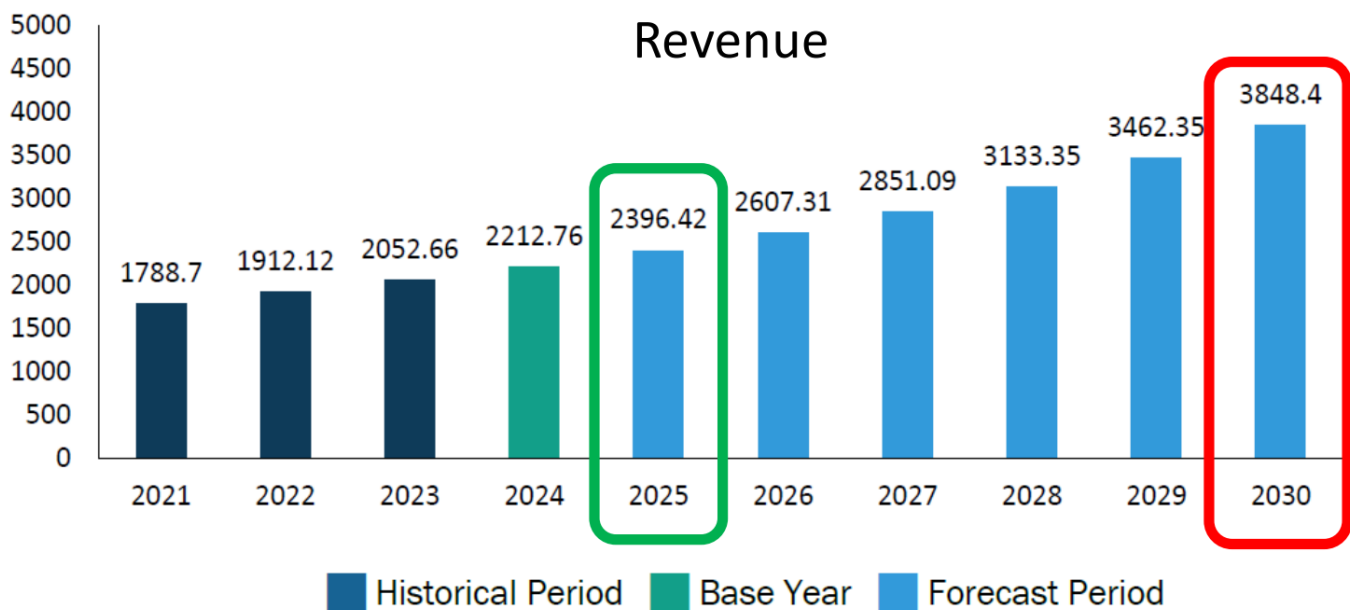
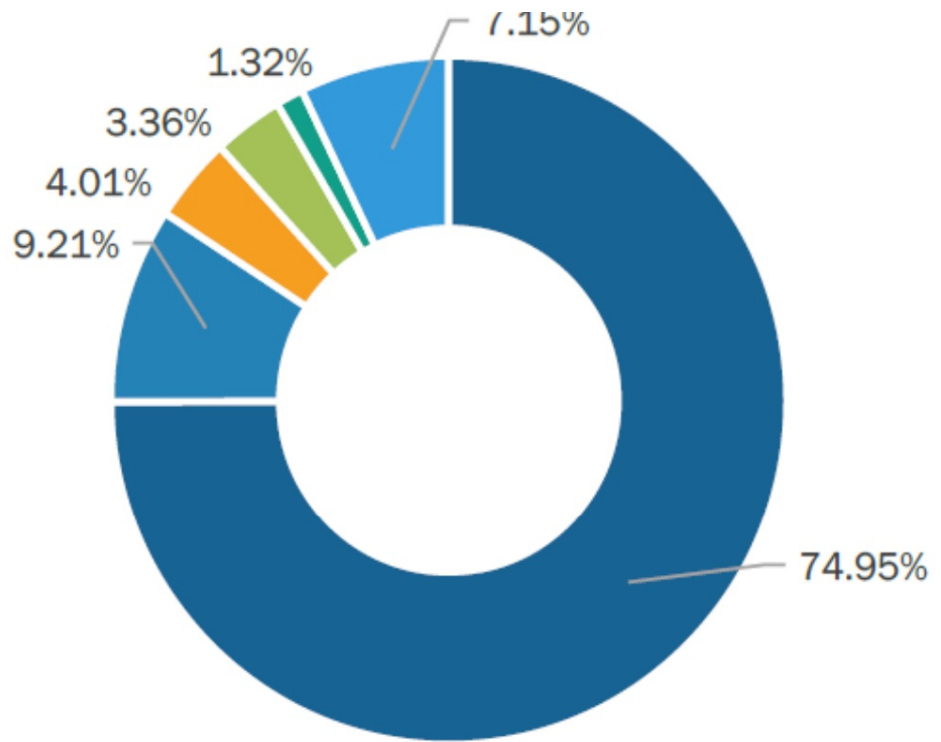
2018 - 2021: Moving Beyond Wildland Fire

BK Technologies was previously named RELM Wireless Corporation, changing its name in 2018. The company has a long history of dominating the market for land mobile radios (LMR) used in wildland fires, for a variety of reasons including cloning capabilities (I won't go in depth as it's largely irrelevant to the thesis today). While this was a nice niche for them, it constrained their growth because the wildland fire market is a very small percentage of the total public-safety LMR market.

Historically (before the BKR 5000 and 9500), BK sold, on average, about 25,000 radios per year at a ~\$2,000 ARPU (including accessories) to the wildland fire market and some other federal customers. BKTI dominated the wildland fire market (>90% market share), but that slice of the overall public-safety pie is very small - estimates of the industry as a whole are more like 700,000 radios sold per year, at a higher ARPU, resulting in a total estimated market size of ~\$2.5 billion.

Motorola Solutions (MSI) is the dominant 800-lb gorilla with 70%+ market share, followed by L3Harris with about 10% (I've heard slightly higher from some in the industry, and it also depends if you factor in the infrastructure side vs. just radios). The following slide from BK's Investor Day presentation earlier this year breaks down their estimate of market share and market size:

- Motorola Solutions, Inc.
- L3Harris Technologies, Inc.
- JVCKENWOOD Corporation
- BK Technologies
- Tait Communications
- Others



About a decade ago, the company's board looked at this situation and sensibly decided: we already have a great wildland fire radio; why don't we make a general purpose radio?

For context, an important nuance that may not be obvious if you've never studied the market is that there aren't really that many professional "wildfire firefighters" - which makes sense when you think about the fact that wildfires are, by nature, seasonal and unpredictable.

When a wildfire breaks out somewhere, firefighters from across the state and even the country come to assist. Those firefighters come, pick up the BK radio that they know and love... and then they used to go back to their home fire departments and pick up a different radio to use on the day-to-day job. The legacy BK radios only functioned on the "VHF" band as opposed to bands such as UHF and 700/800 MHz that are used by municipal police and fire departments due to better propagation through concrete and urban structures; there are other reasons as well but I won't go into the nitty gritty details. The point is that as a result, BK began developing their "BKR series" radios in 2018.

An interesting point that the company is fond of mentioning is that when Motorola closed a facility in Florida near BK's headquarters in West Melbourne, moving those responsibilities elsewhere (Malaysia, if I recall), BK had the opportunity to hire numerous ex-Motorola engineers. So their BKR 5000 and subsequent radios have been built by former Motorola engineers to have similar look and feel to actual Motorola radios, which is important because it makes

it easier to sell to customers when the radio looks, feels, and functions similarly to the market-standard radio that they already use.

In 2021, BK hired industry veteran John Suzuki as their CEO; John was previously the President and CEO of competitor EFJohnson Technologies (owned by JVC Kenwood) from 2015 through 2019, where he drove significant growth (with, I believe, a worse hand in terms of the product set). Everyone I've spoken to in the industry, including one of his direct reports as well as several competitors, has been highly complimentary of John.

2021 - 2024: BKR 9000 Delays, Inflation, and Supply Chain

Suffice to say that John did not have a lot of fun during his first few years as CEO. The BKR 5000 had already been delayed substantially from initial 2019 expectations, ultimately launching in August 2020 due to development and pandemic disruptions. Then, severe global semiconductor shortages and component inflation hit in 2022. BK was forced to fulfill a substantial backlog of older orders at locked-in contract prices. This depressed gross margins below 20% by late 2022 (compared to historical 30%+ levels). In 2024, BK decided to fully outsource its in-house manufacturing to an external partner, East West (a portfolio company of Michael Dell's family office), at a plant in Juarez, Mexico. East West ended up investing in BK as well as part of the deal.

A third key transition was the launch of the multi-band BKR 9000. While the single-band BKR 5000 was a massive step forward, vastly more important was the launch of their multiband portable, the BKR 9000. Some more context here: even within a state, different agencies and neighboring counties can operate on different radio bands, so in mutual-aid or emergency/natural disaster scenarios, you can't communicate with each other using your normal radio, and have to use a different radio (i.e. you would literally have multiple radios to be able to communicate in different situations). There are also spectrum-related benefits (congestion, penetration, etc) that make it helpful to be able to use different bands. There are certain portions of the market that will probably always stay single band for cost reasons but my understanding is that a substantial majority of the market, given the opportunity, will switch to multi-band over time if the cost is reasonable (we'll go more into this later).

The BKR 9000 radio achieved its first commercial sales in the second quarter of 2023. Much like the BKR 5000, it suffered from development delays. It was originally showcased as a concept in March 2019 with an expected 18-month rollout, but engineering challenges pushed the actual delivery timeline out by nearly two years, taking four years in total to develop. Given that first responder customers are by nature cautious, and that the BKR 9000 was BK's most meaningful foray outside of its historical wildland fire bread-and-butter into totally new verticals, it took several subsequent years for the product to become a meaningful revenue contributor.

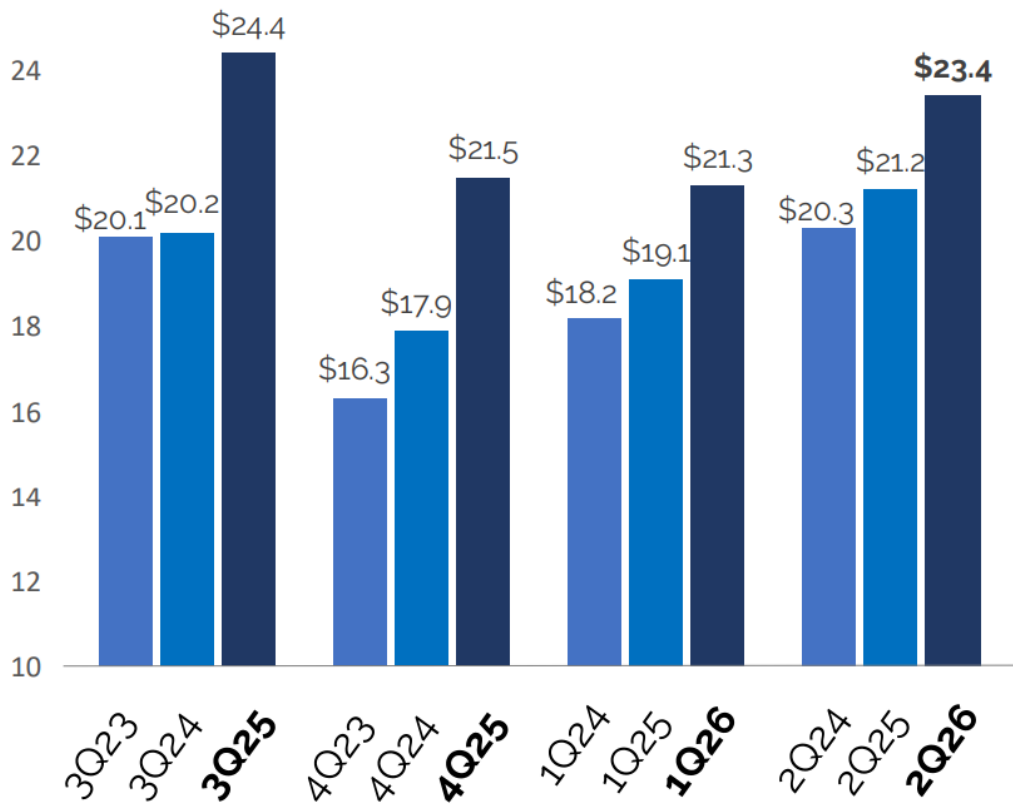
The reason I think this history is important to understand is that it contextualizes the dramatic improvement in BKT's financial profile (as well as its stock price) over the last few years. While this may seem sudden and lead to casual observers thinking it's a flash in the pan and/or a temporary departure from trend for a long-struggling business, the reality is the opposite - the company is finally reaping the rewards of a series of smart strategic decisions made over the past decade, and the challenges experienced prior to 2024 really have less to do with where the business is today, or the capabilities of the management team.

2025 And Beyond: The Fun Begins

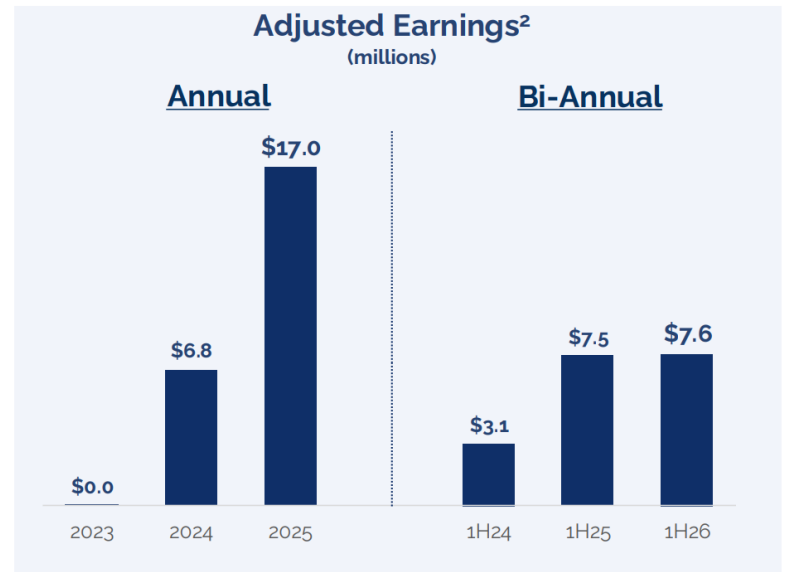
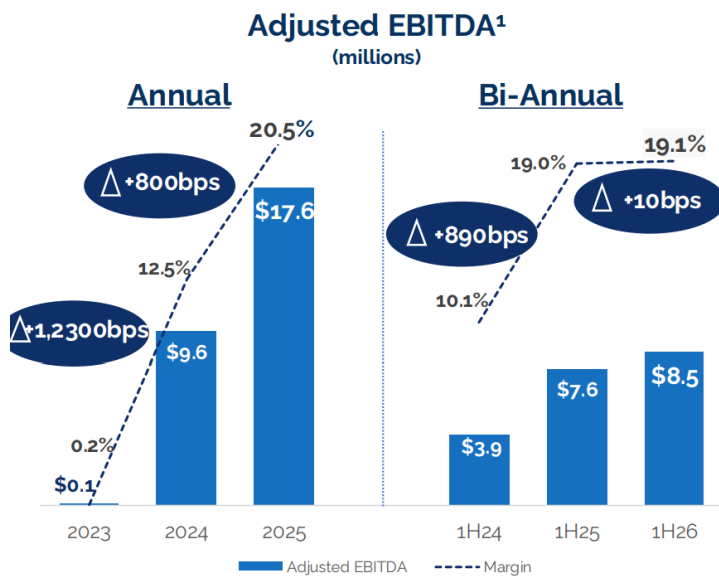
It took a few years for the BKR 9000 to achieve meaningful adoption, and by 2025, not only were BKR 5000 margins better due to the end of COVID-era issues and the East West transition, but BK's mix also started to structurally improve.

Quarterly Revenue

(in Millions)



Enhanced Profitability



Each unit of the BKR 9000 drives ~2.5 - 3x+ the gross profit dollars of a BKR 5000 unit, since it is ~2x the price and has meaningfully higher gross margins (60%+ vs probably ~40% for the 5000). The single-band BKR 5000 typically has a base unit cost of \$1,200 to \$1,500, yielding an average revenue per unit

(ARPU) of \$2,000 once accessories like holsters, battery packs, and remote microphones are factored in.

In contrast, the BKR 9000's average selling price is approximately double that of the BKR 5000, with a configured price range spanning \$2,700 up to \$7,000+ per unit depending on the software options selected (we'll go into more detail on this later).

The BKR 9000 is a legitimately disruptive product that has achieved product-market fit; while the company does not disclose its sales on an ongoing basis, it did disclose in its Q2 2025 10-Q that on August 6, 2025, the company issued performance grants to certain engineering employees due to crossing \$20 million of cumulative sales of the BKR 9000; the company also disclosed at year-end that they shipped 2.5x the number of BKR 9000 multi-band radios in 2025 than in 2024, from which you can extrapolate run-rate figures (more on this in a few sections).

Its pricing is substantially below that of comparable radios from Motorola or L3 Harris. Motorola's high-end portables, such as the APX 8000, range from \$6,000 to \$8,000 fully loaded, while their smartphone-hybrid APX NEXT can be in excess of \$10,000. Even Motorola's base single-band portables retail for \$4,000+. (The data above is from an expert call I did over a year ago; in the appendix I've given some ChatGPT scraped data that suggests prices today are higher.) By pricing a fully functional, all-band BKR 9000 at roughly half the cost of a Motorola multiband equivalent, BKTi offers a highly compelling value proposition to local agencies.

This also creates latent pricing power; for example, in early 2025, BKTi preemptively implemented a 5% to 10% price increase across its entire portfolio of radio products and accessories to shield its gross margins from a looming threat of a 25% tariff on imports from Mexico. Although those Mexico tariffs ultimately never materialized, with BKTi's contract manufactured products continuing to enter the U.S. completely tariff-free under the USMCA trade agreement, the company successfully maintained the price hikes in full. Judging by the company's financial results throughout the year, it seems this price increase was accepted with zero customer pushback or demand decline, allowing this incremental pricing power to flow directly to the bottom line as pure margin expansion.

BKTi's go-to-market strategy for the BKR 9000 explicitly avoids Tier 1 "NFL cities" like New York, Los Angeles, Miami, and Dallas. These major metropolitan areas purchase massive, bundled RFPs that integrate both private network infrastructure and subscriber radios, command multi-million dollar price tags, and are funded by long-term municipal bonding. They also have substantial budget and are loyal to the Motorola "batwing." (To underscore this, one expert I spoke to mentioned touring a facility in a major metropolitan area and seeing crates of unopened Motorola radios - they have plenty of budget.)

Instead, BKTi is focusing on geographically large, infrastructure-limited, and highly interoperability-dependent Tier 2 and Tier 3 rural markets, which still represent approximately 40% of all public safety agencies in the United States. These smaller, decentralized agencies are more price-sensitive; some are even volunteer departments.

BKTi has achieved wins with notable customers; for example, a purchase order for 315 BKR 9000 multiband radios from Boulder County, Colorado, to support 26 fire agencies across the county. Previously, Boulder County's agencies used a mismatched fleet of different manufacturer radios for daily communications on the state's 700/800 MHz digital trunked system, alongside separate legacy BK radios for VHF wildland fire operations. Boulder standardized on the BKR 9000 specifically because it provided a single, unified platform capable of operating across all P25 digital trunked systems in any frequency band while retaining full VHF capability. Similarly, the State of Florida Forest Service, a legacy wildland fire customer historically restricted to VHF operations, purchased the BKR 9000 as a unified bridge to access the Florida Statewide P25 Trunked radio system.

For agencies such as these that need to support both daily and wildland fire operations, the BKR 9000 has a pretty compelling value proposition - they can utilize one radio for both purposes, eliminating the need to buy and maintain dual fleets, reducing overall accessory costs (such as distinct holsters, batteries, and six-bank chargers), and simplifying technician training, programming software, and cable management.

Vision 2030

At the Investor Day earlier this year, the company laid out its extremely ambitious five-year plan, calling for 15%+ compounded annual organic revenue growth, gross margin expansion to 60%, and EBITDA margin expansion to an eye-popping 35%. The company estimated that it had 3.6% market share (~\$86M) in 2025, and wants to get to ~4.5% market share (~\$170M) by 2030.



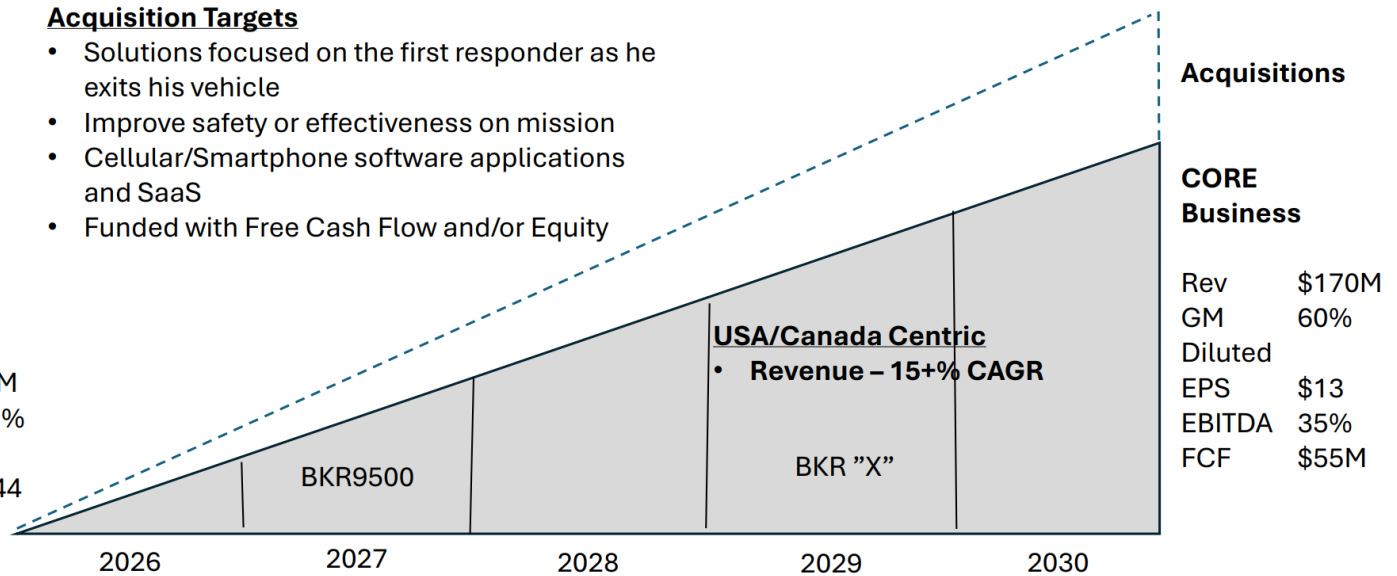
Vision 2030 Objectives

Acquisition Targets

- Solutions focused on the first responder as he exits his vehicle
- Improve safety or effectiveness on mission
- Cellular/Smartphone software applications and SaaS
- Funded with Free Cash Flow and/or Equity

2025

Rev \$86M
GM 48.8%
Diluted
EPS \$3.44



Vision 2030 / January 2026

5 **BK**
TECHNOLOGIES

While we would categorize these as aspirational or "stretch" goals and we don't think that most large shareholders are underwriting this as our base case, I don't think these are delusional either. Better yet, I think that a meaningful chunk of improvement will be front-end loaded. Below, I lay out some of the key drivers which I think will enable meaningful revenue and margin expansion over the next few years (with a concomitant increase in the share price). The first driver takes the most time to explain; the rest are much briefer.

Driver 1: The BKR 9500

There are essentially two types of land mobile radios: mobile and portable. "Portable" radios are those worn on-person by first responders; "mobile" radios are higher-powered radios fixed in the vehicle. (Admittedly, the lingo is a little bit confusing because mobile things usually move, and cell phones, carried on-person, are also known as 'mobile phones,' but anyway... the important thing to remember is that the BKR5000 and BKR9000 are radios carried on-body; the upcoming BKR9500 is an in-vehicle radio.)

The market is generally split about 60-65% of LMR units being portables and 35-40% being mobiles; in other words, there's generally about one mobile radio sold for every two portable radios sold (roughly), although the dollar share is slightly higher for mobiles due to a higher ASP.

The reason that this is extremely important is that up until now BK Technologies' recent results have been handicapped by the fact that they do not have a modern mobile radio. Their legacy KNG mobile radio is 10+ years old and they do not have a current-gen product analogous to the BKR 5000 or BKR 9000; the KNG is also single-band.

That changes with the upcoming 2027 launch of the BKR 9500, which is essentially the mobile (i.e. in-vehicle) companion version of the BKR 9000. Even though it doesn't launch until 2027, it seems that development is complete and the radio has been submitted for FCC testing with approval and commercial shipments expected in early 2027, so we are past the point of the risk of severe development delays of the sort encountered by the BKR 5000 and 9000. It is certainly possible that it might be pushed out later into 2027 or perhaps 2028 in a really bad scenario, but the product is no longer in development; we're in the final stages.

To maximize adoption and eliminate deployment friction, the BKR 9500 is being engineered specifically as a low-friction "drop-in replacement" for the transceiver unit of the legacy KNG mobile radio. This means practically that customers can keep and reuse their existing KNG control heads, cabling, and installed vehicle infrastructure already in the field. Normally, replacing an entire in-vehicle mobile radio installation requires taking emergency vehicles out of service for a full day or longer to strip out the old wiring harness and install new power lines, antennas, and mounts. This disruptive labor can easily add costs representing 30% to 50% of the device's physical purchase price.

Conversely, by designing a transceiver box that connects directly to the existing KNG infrastructure, BKTi allows a technician to simply open a vehicle's trunk, swap out the old single-band box for the new multiband BKR 9500 transceiver, and complete the installation via programming actions in a matter of minutes. This plug-and-play upgrade strategy directly targets an estimated installed base of 50,000 legacy single-band KNG mobile radios currently active in the field.

Here's why I believe this is very important (and underappreciated by the market). Completely independent of whether or not BK Technologies manages to find

a single new customer ever again, the upcoming BKR9500 launch represents a very low risk, high impact product launch that we expect to result in substantial demand from existing BKR 9000 customers.

Our conversations with numerous industry experts established firmly that essentially nobody would ever intentionally purchase a portable radio from one vendor and a mobile radio from another - the logic is similar to why you would rarely mix-and-match an iPhone and an Android tablet or a Google Pixel and an iPad.

One industry expert used the phrase “one throat to choke,” while another estimated that up to 50% of RFPs bundle portables and mobiles; that expert suggested BK has probably been excluded from a number of RFPs due to the lack of a modern mobile radio. (I believe that the real number for BK is probably lower in practice, as John has mentioned there are numerous customers who were OK buying the BKR 9000 and waiting for the 9500 to come out in a few years.) Regardless, it is highly likely that pretty much all customers who bought the BK 9000 represent customers who are highly likely to buy a BKR 9500; it makes little sense to have a modern multi-band radio on your person, and an antiquated single-band one in your firetruck or police car.

What this means is that we believe that relative to the launch of the BK9000, which took a few years to see meaningful adoption, the BK9500 should see very rapid adoption - again, to go back to the tablet analogy; you are not convincing someone to try out the iPhone; you are simply selling an iPad to somebody who already owns an iPhone, in a market where fairly predictably, you sell half as many tablets as smartphones.

As such, I think it's reasonable to assume that the BKR 9500 installed base relatively quickly converges on ~half of the BKR 9000 installed base; said differently, over the longer term, I would expect the sales of the BKR 9500 to be about half of that of the BKR 9000, but I would anticipate a bit of a faster ramp-up and more contribution from the BKR 9500 in the early years because they probably have “catch-up” sales to existing customers.

While I believe this radio has slightly lower gross margins than the 9000, I believe it should more than make up for this on the bottom line because again, it's not a separate customer base - rather, you get a lot of sales from your existing installed base with very little effort (you're not having to convince a new customer), AND your future sales to new customers (or existing customers) now come with the potential to bundle an additional product and drive up units/ASPs for the transaction, AND there are probably now some RFPs you couldn't participate in.

This is a classic example of “adding a product to the bag” - even if BK doesn't spend a dime more on marketing or sales efforts, it can now sell an additional high-margin, high-ARPU product to whatever customers are coming through the funnel.

In terms of modeling, we discussed earlier the disclosures that BK has made about BKR 9000 sales. If you do a bit of algebra and triangulation, or just hand all of these facts to your favorite LLM, you will probably converge on estimates that look something like the below. If you assume my estimates are reasonable, then BK will end 2026 with an installed base (in dollars) of probably ~\$60 million, plus or minus, of the BK 9000.

That means that they probably have a “catch-up” opportunity of ~\$30 million to sell mobiles to existing portable customers, and if you assume typical industry attach rates, then they should also sell about 0.5 dollars of the 9500 for every dollar of the 9000 going forward. Assuming reasonable growth of the 9000 and commercialization by mid-2027 (assuming any FCC delays or teething issues), I think the projections below are quite reasonable.

	2023	2024	2025 - new expectations	2026	2027	2028
Revenue	\$74.1	\$76.6	\$86.1	\$93.4	\$109.9	\$123.2
BKR 9000	\$2.5	\$8.0	\$20.0	\$26.0	\$32.5	\$35.8
BKR 9500				\$0.0	\$10.0	\$20.0
BKR 5000 / other	\$71.6	\$68.6	\$66.1	\$67.4	\$67.4	\$67.4
Total y/y rev growth			12.4%	8.5%	17.7%	12.1%
9000 Growth			150.00%	30.00%	25.00%	10.00%
Total Base Growth (5000 + 9000)				8.50%	6.96%	3.25%
9500 - points of growth					10.70%	8.80%

Another way of looking at this is that they cited an existing installed base of 50,000 KNG mobiles. If they were to replace all of these over the next ~15 years, that would be ~3,300 radios per year at presumably a >\$4,000 ARPU, or ~\$13M+ per year, even if they never sold a BKR 9500 to a new customer; if you assume a 10-year replacement cycle, you get to \$20+ million per year. I presume most of these sales are incremental as everyone has known that the BKR 9500 is coming out soon, so I doubt that they have really been selling much of the KNG mobile radio.

However you look at it, the conclusion that you should draw is that the 9500 should add double-digit points of growth to BK for 2027 and 2028 on top of whatever your growth assumption is for the base portable-radio business. You can see that in the projections above (which are my base case model - for

now), I assume flat revenues for the BKR 5000 and decelerating growth for the 9000. Combined, I assume that the base business ex the 9500 delivers only ~7% growth in 2027 and a measly 3.3% growth in 2028.

To be clear, I think they can do much better than that; consider that they increased prices alone by way more than that in 2025, and the 9000 still has plenty of TAM to penetrate in terms of unit growth (or units shifting from the 5000 to the 9000 at a much higher ARPU and margin). The point that I'm trying to make is that even if you are pessimistic about their ability to find new customers, they have a big leg of growth coming just from launching the 9500 and selling it to the same customers they're already selling to.

Driver 2: Band/Software Sales (And General Trend Towards Multi-Band)

Another aspect regarding multi-band radios that I think the market underappreciates is exactly how and why they're higher margin, which helps explain the substantial margin ramp that the company is projecting over the next few years.

Every BKR 9000 is manufactured with all physical tri-band components baked into the unit. Both industry experts and management have clarified that the actual incremental cost of these components, relative to a single-band radio, is fairly small; the challenge was more on the R&D side around how you enable this all to work in a single radio without interference, etc.

For all multi-band radios (not just BK's), access to these bands is software-gated. You pay to enable additional bands. As an analogy, think about buying software from Microsoft, such as Windows "Pro" vs Home, or "Ultimate" Microsoft Office, or upgrading from a free trial of any software to a paid version. This is literally pure margin - you usually already have all the files / physical bytes on your computer; you're just unlocking them with a license key.

The exchange below from an expert call (I'm pretty sure I was the analyst; it sounds like me anyway) explains how this works.

Analyst

Okay. As far as another source of recurring, you mentioned that, for example, for that multi-band radio for using that Boulder County example, they may have bought those radios today but then in a couple of years they may add a band or that's another potential source of and that's not something they would have had historically but that's something that now on the multi-band radios they would have. Is that accurate?

Expert

That's right. You're looking at virtually pure profit because all of your band costs and development is already baked into the initial sell of the radio. Your margins on the initial sell are going to be as low as they ever are.

Analyst

That's actually really interesting. You're basically saying so it's almost like the radio comes with these capabilities and then it's really just you're paying them a fee to enable some of those capabilities like a menu. Like you said, like a manufacturing cost is already all in there and then it's just like, hey, send me \$1,000 and of course, I'm sure there's some implementation of whatever cost. That's much higher than selling a device. That's a very profitable revenue stream.

Expert

That's right. There really isn't a cost. Unless there's a hardware change required, there isn't a cost or a hard cost that's captured there on the license stream. For example, you're BK. I buy a VHF single band BKR9000 from you just analog. I give you \$2,000 for it, and then I call you and say, hey, I need to add UHF and 700, 800 MHz into it and you say, "Okay, it's \$1,600. Here's your invoice." I pay the invoice. What I get from that point is an email that has a 16-digit code and then I go into the programming, add in that 16-digit code in the programming software and now it enables the ability for me to program that radio with the additional frequencies.

Analyst

Oh wow. Okay. There's not even a service cost from the BK side. It's not like they have someone who is having to actually do programming on the radio. The client is doing that work.

Expert

Most of the time it just depends on if they're using a local shop or if the cell is going direct to BK versus going through a dealer in their distribution sites. Obviously, there's going to be different scenarios but for the most part hard costs, there's roughly none.

In other words, if you sell a "base" BKR 9500 today for a few thousand bucks, you have an opportunity to later generate thousands more in additional revenue at essentially pure margin.

My understanding from management and industry experts is that customers may not buy all the bands up front due to budgetary or operational plans; i.e. they might be preparing for the ability to go multi-band in a few years; they may also have certain missions that require multi-band more immediately vs others where it's more of a nice to have, etc. Again I think this is somewhat difficult to model precisely from the outside. However, here is some pricing data scraped by ChatGPT (see Appendix for full details), which can help contextualize the potential add-on sales from software:

For the BKR 9000, your range remains pretty good, although I'd describe it more precisely as a roughly 2,500–6,000+ radio depending on configuration and contract discount, rather than 2,700–7,200. BK's July 2025 price list has the Tier 3.5 full-keypad radio at \$3,623 list with one frequency band. Activating all bands costs another \$1,994 list, taking the radio itself to about \$5,617 before other software/features/accessories. P25 FDMA trunking adds \$223, TDMA

adds another \$501, AES \$533, OTAR \$556, etc., so a heavily optioned unit can indeed move well above \$6,000.

Actual government transaction prices are particularly useful here. In March 2025, a Colorado agency quote showed the Tier 3.5 BKR 9000 at \$2,415, plus \$692 for an additional VHF band, with batteries/accessories separately priced. More importantly, in October 2025 the federal government ordered 120 BKR 9000s for \$589,932, which works out to \$4,916 per unit on average. We don't have enough detail from that award to know precisely what software/accessories were bundled, but it gives us a very good real-world current ASP datapoint.

Again, these are just a few datapoints, but between this and industry calls, it seems reasonable to assume that BK could generate ~50% of the initial radio ARPU in add-on software sales over subsequent years, at a much higher margin. It also seems reasonable to assume that customers who are trying out the radio are probably not going full-bore and buying all features they could possibly use on day 1, so the "land and expand" model seems to make a lot of sense here from a modeling perspective.

From John at the Investor Day:

So there's 700,000 radios sold every year-ish. 15% of that we feel is multi-band radios today. We think that maybe it could go to 60%, which would be very aggressive. And think about it, right, it's been 15%. It's been almost 10 years that the first all-band radio was first introduced. So it's not like it's lighting up fire and transitioning this market very fast. And again, our view on that is the adoption rate is not – has nothing to do with the capability. It has more to do with the price points of what these people were paying. Now we do feel that with ourselves and other competitors at more budget-friendly price points that the adoption rate is going to accelerate. And if you were to ask me to, say, where do you think things will settle out, I would say 60% all-band radios, 40% single-band radios. So I would assume that, that percentage is possible on the 50,000 radios that are embedded out in the base. Now again, that's just over-the-napkin math. I can say with probably great certainty, it wouldn't be 100%.

NotebookLM summary of some expert calls, etc:

Across the United States, spectrum remains highly fragmented: the center of the country operates primarily on 700/800 MHz digital trunked networks, the West Coast is heavily anchored in VHF, and the East Coast has extensive UHF networks. When major emergencies or wildfires strike, first responders from separate jurisdictions often find themselves unable to communicate, historically forcing personnel to carry up to three separate, heavy radios on their belts. Multiband radios function like "cruise control," automatically routing communications across VHF, UHF, and 700/800 MHz channels on a single device. Furthermore, post-COVID population migration to rural areas has severely strained local spectrum capacity. This noise and congestion is forcing local county agencies off traditional VHF analog networks and toward modern 700/800 MHz P25 digital trunked systems, while still requiring legacy VHF capability to interface with wildland fire and state forestry services.

As referenced before, a multi-band radio sale probably contributes double the revenue and ~3x the gross profit dollar of a single-band radio sale. Today, this may be partially offset by higher sales and marketing and other costs (i.e., trying to acquire/convince new customers). However, for an existing BKTi customer that simply chooses to move from single-band to multi-band, that customer's gross profit dollars should potentially triple. BK has already been pleasantly surprised that some of their legacy wildfire/forestry customers have transitioned to the 9000, such as this \$3.3 million order announced in October 2024:

[BK Technologies received a] \$3.3 million purchase order from the Florida Forest Service for the Company's BKR 9000 multiband portable radio. The radios will be used by several different branches within the organization including wildland fire and land management for fighting active wildland fires and facilitating controlled burns, as well as in research to improve biodiversity and ecosystem health.

Based on my estimates, the company still sells >\$50M/yr of BKR 5000s. If 5-10% of these units became multi-band over the next 5 years, this alone would provide a \$3 - \$6M tailwind to EBITDA independent of all of the company's new-customer and new-product initiatives.

Driver 3: Unit and Price Growth

While many customers in "NFL cities" don't really care about budget, I suspect that BK can carve out a nice niche in more rural areas to drive continued unit growth over time, with its multi-band radio priced similarly to a base Motorola single-band radio. Meanwhile, as Motorola continues to raise its prices organically as well as push upmarket with additional features, there is also a lot of pricing power over time.

One analyst had a sharp question on the Q4 2025 earnings call:

Question – Robert Van Voorhis: Okay. That makes sense. And then, my second question, and maybe this is more suited for the call you guys have coming up. But, John, just long term, in terms of pricing strategy, I mean, I understand this industry has quite a lot of pricing power. There's a lot of brand loyalty. What kind of is the pricing strategy long term here? Is it – I don't know. I'm not going to put a numbers in your mouth, but like low single-digit increases over time? Or how do you guys think about that?

Answer – John M. Suzuki: That's an excellent question, Robert. So, I think in the context of where we are today, we have a 3%, 3.5% market share. So, I would say, very modest at best. But we also think that we can at least get to a 10% market share with our current plan and our marketing strategy. And so, my goal right now is to garner as much market share as I can. And at the point at which we feel that the incremental increase in market share is less than what we could achieve through a price increase, at that point, we would start raising prices.

Now, that being said, I mean, we did have some price increases last year that were related to the activities in the administration's tariffs. I mean, if we have a disruption in our cost structure, then, of course, we're going to pass that on to our customers, just like all our competitors did in our industry. But if I look at the tradeoff between the opportunity for us to gain market share – and as you said, once you gain these customers, the stickiness is there – I think the priority, really, is, is let's get as much market share as we can. And then at some point, we will be shifting to continued improved profitability through

sustained price increases over time.

As referenced earlier, there was essentially no customer pushback on BKTl's meaningful 2025 price increases, so while I don't expect to see another one of that magnitude soon, I do think over time there is substantial pricing growth here.

Modeling and Valuation

Extending the revenue growth model from earlier, I hold marketing and G&A/overhead stable as a percent of revenue while assuming that they achieve modest leverage on expensed G&A / overhead; meanwhile, I assume that gross margin increases to the 53-54% range as they continue to shift the mix more towards higher-end products. The net result is that revenue grows to ~\$123M, and EBITDA grows to over \$33M, within the next few years, primarily driven by the 9500 launch.

	2023	2024	2025	2026	2027	2028
Revenue	\$74.1	\$76.6	\$86.1	\$93.4	\$109.9	\$123.2
Gross Profit	\$22.2	\$29.1	\$41.8	\$48.7	\$58.3	\$65.9
Marketing	\$6.1	\$6.2	\$7.7	\$8.4	\$9.9	\$11.1
Expensed R&D/Engineering	\$9.3	\$7.8	\$9.9	\$10.7	\$12.1	\$12.3
G&A / Overhead	\$7.6	\$7.2	\$8.2	\$8.9	\$10.4	\$11.7
Total SG&A	\$23.0	\$21.2	\$25.8	\$28.0	\$32.4	\$35.1
D&A	\$1.6	\$1.7	\$1.7	\$1.9	\$2.2	\$2.5
EBITDA	\$0.9	\$9.5	\$17.7	\$22.5	\$28.0	\$33.3
Capex / D&A	\$0.0	\$0.0	\$1.7	\$1.9	\$2.2	\$2.5
EBIT	-\$0.8	\$7.8	\$16.0	\$20.6	\$25.8	\$30.8
Taxes	-\$0.1	\$1.0	\$4.0	\$5.2	\$6.5	\$7.7
Net Income			\$12.01	\$15.48	\$19.37	\$23.1
EPS		EPS	\$3.00	\$3.86	\$4.83	\$5.76
EV/E		EV/E @ current price	22.5x	17.5x	14.0x	11.7x
EV/EBITDA		EV/EBITDA @ current price	15.3x	12.0x	9.7x	8.1x

I believe the market is underestimating the impact of this upcoming product launch; thus, while BKTl doesn't look cheap on trailing or this-year's numbers (and actually looked quite expensive at \$90 earlier this year), it looks much less expensive, with the multiple implied by the current share price falling to ~8x EBITDA / ~12x earnings as of 2028. At more reasonable multiples befitting the stable public-safety nature of the business as well as the continued organic revenue growth and margin improvement potential beyond 2028, shares would be worth \$130 - \$160, or a CAGR of 26 - 36% over the next 2.5 years.

	2026	2027	2028
FV @ 20x LTM P/E (incl cash)	\$86.2	\$109.5	\$130.7
FV @ 25x LTM PE (incl cash)	\$105.5	\$133.6	\$159.5
IRR - 20x LTM			26.11%
IRR - 25x LTM			36.57%
Cash & Assets (Year End)	\$24.0	\$51.5	\$62.1
Cash per Share	\$6.0	\$12.8	\$15.5

Risks

Below is a discussion of some of the risks and why I see them as not particularly concerning, at least at this time and price.

1: Competitive Response from Motorola or Harris (... or Kenwood/Tait)

The first and most obvious question that an analyst should ask, and indeed the one that I asked first when I started working on this company several years ago, is: What prevents Motorola or Harris from competing with them? Indeed, analysts have asked on the calls, "How are you able to make a radio cheaper than Motorola?"

The answer is they don't. They don't really have a cost advantage per se. They simply are willing to accept lower margins and spend more time/focus on small, rural departments that Motorola can't be bothered with. As far as whether executives at Motorola or Harris really care about what BK is doing, my sense is, again, when you look at the size of the LMR businesses within those companies (as well as their overall public-safety business and revenue as a whole), they are simply not focused on it. BK is the proverbial gnat on an elephant's butt (in the best way).

I spoke to a member of the management team at Harris last fall and he was blithely unaware of what BK was up to; In fact, he was cautioning me against the investment based on irrelevant data points from 5 or 10 years ago. It didn't seem to me like he was even aware of the existence of the BKR9000. BK's entire revenue top-line is probably less than Motorola's annual price increases on their existing revenue base; the beauty of this thesis is that 20 or 30 million in revenue represents a huge gain for BK shareholders but is essentially irrelevant to Motorola and Harris.

Additionally, given the nature of public contracting, while I'm sure that Motorola and Harris would be willing to cut prices fairly aggressively to keep business in core customers (if it came to that), I doubt that they're interested in price matching for a small rural department. This might cause Miami, Dallas, New York City, or Los Angeles to look at them and say, "Hey, why are those tiny customers getting half the price that we are?" It just wouldn't be a sensible competitive response.

The way they could respond is a bit more nuanced. Without getting into the nitty-gritty details, P25 is designed to be an open standard but BK is still at somewhat of a disadvantage because they don't sell their own infrastructure; they sell radios and accessories. Moto and Harris also sell the underlying LMR infrastructure, as well as lots of other public-safety products and technology.

This creates the opportunity potentially for bundling from both a cost and management perspective (see the "one throat to choke" reference above), but also for making it harder to play on their infrastructure. I've heard varying opinions about this; John doesn't think it's an issue while a few industry experts do, so you can do your own research, but essentially my understanding is that particularly Motorola tends to be a bit difficult and try to delay/prolong (although not completely block) others from deploying the latest and greatest advanced features on their networks (encryption, etc.)

At the other end of the market I suppose it's also possible that others could try to make inroads into BK's historical dominance in wildland fire. This market is fairly concentrated with a few large customers (i.e. Cal Fire, various US federal agencies) representing a large portion of the market and thereby also serving as a proxy decision maker for many others (i.e. smaller agencies often use them as a benchmark, not to mention the cloning/compatibility issues we discussed before). If these customers perceive that BK's focus is no longer with them and/or other competitors manage to convince them to move, then BK could lose this revenue.

I view this as unlikely, and it's also worth remembering that this is their least valuable market; in a few years, wildland fire is likely to be a third of their revenues and far less of gross profit / EBITDA as discussed before. It seems unlikely the market would make a rapid wholesale shift to a new provider, particularly given that these radios are tried and tested and there's no huge benefit to technological differentiation here (I don't think "we made a better radio" will really fly.)

2: Will LMR Eventually Be Replaced?

To me the bigger question and a debate that's been going on for decades is whether land mobile radio will eventually be replaced by other networks. There are certainly other communication alternatives such as AT&T FirstNet; meanwhile, companies such as Haivision offer private, high reliability 5G deployments for critical applications - and we can't forget about Starlink.

My sense is that this is more of a terminal multiple or long-term question versus a real concern over the next 5 to 10 years. There are a number of different reasons for this.

First, setting aside the actual network technology, the form factor of the radio itself is unlikely to go anywhere for a very long time. If you think about the real-world scenarios they are used in - firefighters in a burning building; police officers pinned down during a mass shooting - they are designed to work reliably and to be easy to control and use during those scenarios when you may not even be able to see, when you may have other things in your hands, you may be running or carrying someone, etc. Cell phones are simply not designed to be that durable and/or usable in such circumstances.

Finally, while younger / newer officers or firefighters might be more open to another solution, those who have been using radios for many years are unlikely to look favorably upon any sort of move away from them. Cell phones are already in broad use, particularly among police officers; if you do ridealongs, you'll see that they use both - cell phones for off-network communication, but it doesn't mean they don't use their radios.

A follow-up question is the core technology: will other networks (such as 5G and satellite) become more valuable, and will that put BK at a disadvantage? Or will some areas want to eventually sunset their LMR networks to save on infrastructure costs?

There are clearly lots of potential things that could happen but there's no real technical reason that BK couldn't put 5G or satellite chips in their radio; it would likely be a development effort of a few years (per John) and I presume it's something they would do if they saw the market moving strongly in that direction. Again, over 5-10 years, it seems particularly unlikely to be relevant to their customer base. As referenced, such radio products exist on the market and cost >\$10,000 for flagship, feature-loaded Moto products... while less than 20% of the market has even adopted multi-band technology that has been around for over a decade, due primarily to cost. Given BK serves the most cost-sensitive portion of the market, and given Moto and Harris's focus on margin rather than volume, it seems extremely unlikely that BK will suddenly find itself competing with cheap new technology - its customers might want to have the Moto

features, but are they worth 4x the price of a BKR 9000?

As for the network technology, I never like to bet against progress but I think there is a long way to go. Again, LMR is engineered for reliability; some areas actually require LMR amplifiers so buildings have an even stronger signal. If you've ever had your cell phone connection drop, or had wi-fi issues if you just walk three feet to a different part of the room, you'll intuitively understand the huge difference between "works 95% of the time for consumers" and "must work >99.99% of the time in a burning building or during a shootout."

3: Tariffs

While macroeconomic events are unlikely to meaningfully impact customer purchase decisions (they did fine through DOGE and all the volatility of the past few years), the cost side of the equation could be impacted by tariffs. As referenced, all of their production is currently in Mexico, although they do some final assembly in the U.S. In a scenario where USMCA was thrown out or Trump declared 500% tariffs on Mexico for fun, it would obviously be challenging in the short term. East West does have facilities elsewhere if Mexico is specifically targeted, rather than the world at large, and as the mix shift happens and BK moves more to higher-margin licensing band sales (to which tariffs would not apply), it's a smaller issue than it was a few years ago. Meanwhile in a broad tariff scenario, everyone in the industry would be affected, not just BK, and going back to pricing power, they have already shown the last time around that customers are accepting of price increases - in fact they didn't have to roll it back when the tariffs didn't come out after all.

Appendix: Scraped Pricing Data (ChatGPT)

The entirety of the section below was written by ChatGPT based on data found through a web search; it largely corroborates the expert calls I did a while back - note that the literal / actual prices are probably somewhat less important than the price gap between BK and Motorola for a similar product.

A late-2024 public-agency quote priced the BKR 5000 radio itself at \$1,500, before antenna, battery, microphone, charger, etc.; a current dealer lists a configured BKR 5000 at 2,575–2,671. So an ~\$2,000 realized revenue/unit including accessories may still be a reasonable historical company-level ARPU estimate, but I would not describe the current radio as generally costing customers only 1,200–1,500.

For the BKR 9000, your range remains pretty good, although I'd describe it more precisely as a roughly 2,500–6,000+ radio depending on configuration and contract discount, rather than 2,700–7,200. BK's July 2025 price list has the Tier 3.5 full-keypad radio at \$3,623 list with one frequency band. Activating all bands costs another \$1,994 list, taking the radio itself to about \$5,617 before other software/features/accessories. P25 FDMA trunking adds \$223, TDMA adds another \$501, AES \$533, OTAR \$556, etc., so a heavily optioned unit can indeed move well above \$6,000.

Actual government transaction prices are particularly useful here. In March 2025, a Colorado agency quote showed the Tier 3.5 BKR 9000 at \$2,415, plus \$692 for an additional VHF band, with batteries/accessories separately priced. More importantly, in October 2025 the federal government ordered 120 BKR 9000s for \$589,932, which works out to \$4,916 per unit on average. We don't have enough detail from that award to know precisely what software/accessories were bundled, but it gives us a very good real-world current ASP datapoint.

The Motorola comparison remains valid — arguably more so than your old numbers imply — but I'd change the exact figures. Current Motorola government pricing through October 31, 2026 shows:

Radio	Current government price
Motorola APX 6000 single-band	\$5,436
Motorola APX 8000 multiband	\$8,345
Motorola APX NEXT multiband	\$9,580

And those aren't theoretical list prices. A May 2026 California municipal procurement quoted APX NEXT at \$8,724/unit and APX 8000 at \$9,305/unit.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Upcoming BKR 9500 launch

Messages

Subject	Additional color on the 9500 and existing KNG mobile radio sales.
Entry	09/09/2026 04:45 PM
Member	starfox02

I forgot to include the below in the section regarding the 9500 and why it should be almost entirely incremental - this expert (from 2025) believes BK hasn't had a competitive mobile radio for over 5 years at that time (would be 6-7 by the time the 9500 comes out) and while nobody wants to buy separate mobile vs portable radios, some customers are buying Kenwood mobiles just because it's the only other one approved and BK doesn't have a competitive offering. I think this dynamic is really the crux of the investment thesis (which is why I spent so much time on it) - whether one believes in the ability of the BKR 9000 to gain additional market share or not, BK should have a very large, low-risk growth opportunity from simply finally having a sellable product that represents roughly a third or more of the TAM they play in, which they haven't had for 6-7 years. If we look at the ramp of the BKR 9000 over the past few years, the BKR 9500 should be faster and easier and of comparable magnitude in terms of contribution to the bottom line.

Client

I know that on the mobile side, they only have that old KNG product, so it sounds like you're saying not having that product is a pretty significant headwind for them, but the converse to that is if and when they do release that new mobile radio, it will be a pretty big help for them. I've heard that most customers want the same mobile and portable radio and then a lot of RFPs call for the same UI on both. I don't know if that's your experience in the industry.

Expert

I think nobody wants mixed vast products. I think on the wildland fire side, that's where BK has lost some traction because most of the agencies that are buying KENWOOD are buying KENWOOD mobiles because it's the only thing that's approved on the NIFC approved list other than the KNG.

That's where I think they've lost not only percentage of penetration, but they've also lost dollars in revenue because some of those guys. They have to keep their BK portable for sure because of cloning and some of the field operational features, but the mobile, they don't need that, so that's where they're buying KENWOOD.

In the state and local market, absolutely. You're not walking in selling portables only. You need to have a pairing for most people to make a switch, unless there's some specific event or some specific budget item that they have for portables only.

In most cases, when you go into the state and local market and I'm talking about state and local law enforcement, structural fire, even EMS, to a certain extent which basically makes up the bulk of the revenue in that marketplace, you look at the law enforcement market, it's probably on an annual basis a \$500-million market, structural fire's \$750 million, EMS' \$400 million. Wildland fire is about a \$20 million-\$25 million market on an annual basis, depending on the Fed spend.

By far police, structural fire, and EMS dwarf wildland fire, but those guys are carrying Motorola radios and they're carrying Motorola portables and Motorola mobiles. Very few of those guys will have, "Okay, I'm going to have a Motorola APX 7000 and I would buy a KNG Mobile." It's just not going to happen.]

Now, that's major metropolitan, Tier one. Tier two, law enforcement. You get down to Tier four which are smaller agencies, they may not have the dollars to pay for an APX portable and mobile, so you may get some mobile sales there, but I think it's going to be interesting to see what BK strategy is going to be long term of that mobile, knowing that they haven't had a really competitive mobile offering in the market for five years or more. It'll be interesting to see what the BKR 9500 does and where their target penetration markets are and the vertical markets to make up and get incremental state and local dollars out of that product.